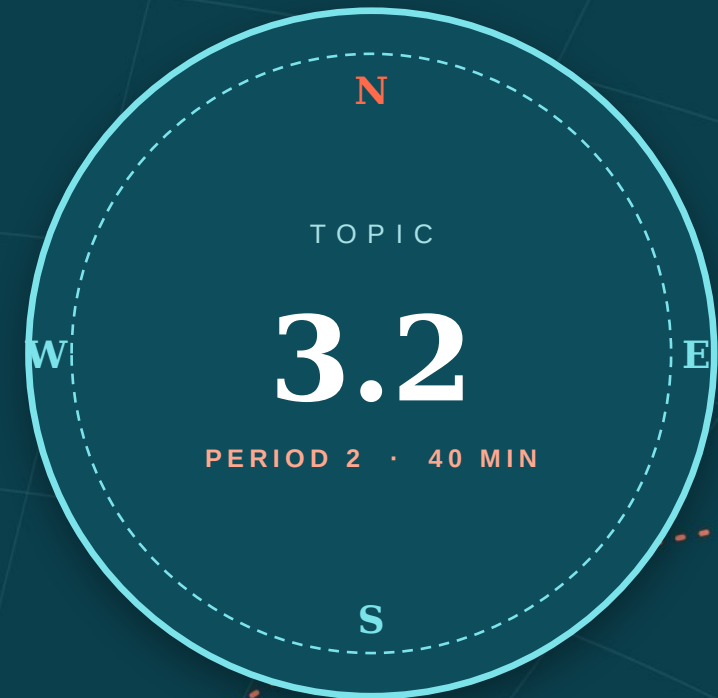


UNIT 3 · TOPIC 3.2

# International vs Domestic Fare Construction

*Different borders, different rules.*

B.B.A. Aviation Management · Semester III · Unit 3: Fare Construction (Advanced)  
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar



## TOPIC 3.2

# Expedition Preview: Topic Intro



UNIT 3 · TOPIC 3.2

FARE CONSTRUCTION (ADVANCED)

## International vs Domestic Fare Construction

*Different borders, different rules.*

AIR TICKETING & FARE CONSTRUCTION · UNIT 3 · TOPIC 3.2

The graphic features a dark teal background with a faint world map. A large play button icon is centered. To the right is a circular compass rose with 'N', 'S', 'E', and 'W' markers, and the text 'TOPIC 3.2' in the center. A red dashed line curves from the bottom right towards the compass. At the bottom left, a horizontal line with a red arrow points to the right, with the text 'AIR TICKETING & FARE CONSTRUCTION · UNIT 3 · TOPIC 3.2' above it.

Air Ticketing &amp; Fare Construction · Unit 3: Fare Construction (Advanced) · Topic 3.2

02

## TOPIC 3.2

## Navigator's Question



THINK ABOUT IT

Why is pricing a domestic ticket easier than pricing an international one?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2–3 answers with the class



## TOPIC 3.2

# Route Map for Today

1

3.2.1

Key differences between international and domestic fare calculation

2

3.2.2

Factors affecting domestic fares: demand, distance, route, competition

3

3.2.3

Factors affecting international fares

4

3.2.4

Exchange rates, international taxes, seasonal pricing and regulations



## COURSE OBJECTIVES

- Compare domestic and international construction
- Explain domestic fare drivers in India
- Explain international fare drivers
- Assess the effect of currency and regulation

*Pedagogy: Group Teaching and Learning*

## TOPIC 3.2.1

## Domestic vs International Construction



### Domestic (e.g., India)

- Priced in local currency (INR)
- Mostly point-to-point, airline-set fares
- Few mileage / HIP checks
- Domestic taxes (GST, UDF)

vs



### International

- Priced in NUC, converted by ROE
- IATA rules: mileage, HIP, BHC, CTM
- Directional fares, global indicators
- Taxes from several countries



## TOPIC 3.2.1

## Why the Difference?



### One Government

Domestic markets have one regulator and one currency.



### Many Governments

International fares rely on bilateral agreements and IATA rules.



### Interline Needs

International tickets often combine several carriers.

## TOPIC 3.2.2

# Domestic Fare Drivers

*In India's competitive market, fares move fast.*



## Market Demand

Business routes (DEL–BOM) vs leisure routes (DEL–GOI).



## Distance

Longer sectors cost more to operate.



## Route & Frequency

Many daily flights = more choice, sharper fares.



## Competition

More airlines on a route usually lowers fares.



## TOPIC 3.2.2

## Competition Effect (Illustrative)

*Average one-way economy fare on similar-length routes.*

**1**

airline (monopoly) — ₹7,500 average fare

**2**

airlines (duopoly) — ₹5,800 average fare

**4+**

airlines (competitive) — ₹4,400 average fare



Group discussion: why did UDAN regional routes need government support?



## TOPIC 3.2.3

# International Fare Drivers

**Air service agreements**

Limit seats and airlines on a route (e.g., India–UAE).

**Hub competition**

Gulf and Asian hubs compete for India's travellers.

**Fuel and costs**

Long-haul costs and surcharges.

**EXAMPLE**

When bilateral seat limits are full, fares on India–Dubai rise at peak times because airlines cannot add capacity — even if demand is huge.



## TOPIC 3.2.4

## Currency, Tax, Season & Regulation



### Exchange Rates

ROE changes shift local-currency fares.



### International Taxes

Departure, arrival and transit taxes per country.



### Seasonal Pricing

Destination seasons (e.g., European summer).



### Regulations

Government approval of fares, consumer rules.



## TOPIC 3.2.4

# Currency Change Example

*Same NUC fare, different ROE.*

- The airline's NUC fare stays the same.
- IATA updates the ROE regularly.
- A weaker rupee raises the INR fare.
- Agents must use the ROE valid on the ticketing date.



ROE IMPACT (illustrative)

```
FARE          NUC 600

ROE 83.00    -> INR 49,800
ROE 86.00    -> INR 51,600

DIFFERENCE   -> INR 1,800

// ROE values invented
```

TOPIC 3.2.4

# Side-by-Side Summary

| Factor     | Domestic         | International          |
|------------|------------------|------------------------|
| Currency   | Local only       | NUC + ROE + BSR        |
| Rules      | Airline-specific | IATA + airline         |
| Taxes      | One country      | Multiple countries     |
| Checks     | Few              | Mileage, HIP, BHC, CTM |
| Regulation | National         | Bilateral + national   |

## TOPIC 3.2

# Navigation Exercise: Jigsaw Groups



## PEDAGOGY

## Group Teaching and Learning

TIME · 12 min

FORMAT · 4 expert groups

1

Each group becomes expert in one factor: demand, competition, currency or regulation.

2

Groups prepare a 3-point summary with one Indian example.

3

Regroup so each new group has one expert per factor.

4

New groups explain why DEL–DXB costs more in December.



## TOPIC 3.2

[Click to reveal each answer](#)

## Position Check Quiz

**Q1**

International fares are added in...

- A) INR
- B) NUC
- C) USD only
- D) Miles

ANSWER

**B****Q2**

More competition on a route usually...

- A) Raises fares
- B) Lowers fares
- C) Has no effect
- D) Ends flights

ANSWER

**B****Q3**

A weaker rupee (higher ROE) makes the INR fare...

- A) Lower
- B) Higher
- C) Same
- D) Free

ANSWER

**B****Q4**

Bilateral agreements limit...

- A) Seats and airlines on routes
- B) Meal types
- C) Seat pitch
- D) Ticket colour

ANSWER

**A**

DESTINATION REACHED

# Key Takeaways

- ✓ Domestic: local currency, airline rules, fewer checks
- ✓ International: NUC/ROE, IATA rules, multi-country taxes
- ✓ Demand, distance and competition drive domestic fares
- ✓ Currency, taxes, seasons and bilaterals drive international fares

**EXIT TICKET** Write 1 thing you learned today + 1 question you still have.

NEXT WAYPOINT

## Topic 3.3 — Add-ons and Surcharges

Thank you · Questions?